

26TRCV00788 26TRCV00788

County: los-angeles

Division: Civil Law and Motion

Department: E

Hearing date: 2026-09-21

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Case Number: 26TRCV00788 Hearing Date: September 21, 2026 Dept: E

Superior Court of California

County of Los Angeles

Southwest District

Torrance Dept. E

CITY OF

REDONDO BEACH, a Public Entity,

Plaintiff,

Case No.:

26TRCV00788

vs.

[Tentative]

Sustained/overruled/granted

ROCKET

MORTGAGE, LLC, a Delaware corporation; CLEAR RECON CORPORATION, a non-judicial foreclosure trustee, JESSY PIU PINK LUK, an individual; MORTGAGE ELECTRONIC REGISTRATION SYSTEMS, INC., a Delaware corporation, AND DOES 1 through 20, inclusive.

Defendants.

Hearing

Date: September

21, 2026

Moving Parties: Defendant Rocket Mortgage LLC

Responding Party: Plaintiff City of Redondo Beach

HEARING: Demurrer with MTS

The Court considered the moving,
opposition, and reply papers.

RULING

The Court
sustains the Demurrer as to causes of action 1, 2, 3, 6, 7, and 8 with leave to
amend.

The Court
overrules the Demurrer as to all other causes of action.

The Court grants the Motion to Strike with leave to
amend.

BACKGROUND

On March
4, 2026, Plaintiff City of Redondo Beach filed the Complaint against Defendants
Rocket Mortgage LLC, Clear Recon Corporation, Jessy Piu Ping Lik, and Mortgage
Electronic Registrations Systems Inc., alleging causes of action for breach of
contract, breach of restrictive covenant, breach of equitable servitude,
inducing breach of contract, intentional interference with contract, breach of
the implied covenant of good faith and fair dealing, quiet title, and
declaratory relief.

On June 26, 2026,
Defendant Rocket

Mortgage LLC filed the Demurrer with MTS.

On September 8, 2026, Plaintiff
filed the Opposition.

On September 14, 2026, Defendant
filed the Reply.

JUDICIAL NOTICE

The Court may take judicial notice of records
of (1) any court of this state or (2) any court of record of the United States
or of any state of the United States. (Evid. Code § 452 subd. (d).) The Court
may also take judicial notice of “Official acts of the legislative, executive,
and judicial departments of the United States and of any state of the United
States.” (Evid. Code § 452 subd. (c).)

Defendant requests that
the Court take judicial notice of the Trustee’s Deed Upon Sale recorded on
April 26, 2023, as Instrument No. 20230270409 in the Official Records of Los
Angeles County, California.

The Court grants this
request pursuant to Evidence Code section 452 subdivision (d).

LEGAL STANDARD

A demurrer can be
used only to challenge defects that appear on the face of the pleading under
attack or from matters outside the pleading that are judicially noticeable. (Blank
v. Kirwan (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint
need only allege facts sufficient to state a cause of action; each evidentiary
fact that might eventually form part of the plaintiff’s proof need not be
alleged.” (C.A. v. William S. Hart Union High School Dist. (2012)

53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of
the cause of action, the demurrer admits the truth of all material facts
properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th

962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing defendant cannot tell what he or she is supposed to respond to. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

DISCUSSION

Meet and confer

Before filing a demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., § 430.41, subd. (a).)

On June 23, 2026, the parties met by telephone regarding the Demurrer. Therefore, Defendant has satisfied the meet and confer requirements.

This action concerns real property located at 2750 Artesia Boulevard, Unit #343, Redondo Beach, California 90278. The borrower owned the subject property until her death in early 2022. Following her death, Defendant Rocket initiated non-judicial foreclosure proceedings against the Property.

On August 23, 2022, Defendant CRC, acting as trustee for Defendant Rocket, recorded a Notice of Default under a 2019 Deed of Trust executed by the borrower. Notices of Trustee's Sale were thereafter recorded on November 28 and November 29, 2022, setting a foreclosure sale for January 26, 2023.

On or about January 26, 2023, Defendant CRC, acting as trustee for Defendant Rocket, conducted a non-judicial foreclosure sale of the Property. Defendant Luk purchased the Property at that sale for \$306,000, as reflected in the Trustee's Deed Upon Sale. Title transferred to Defendant Luk, and surplus proceeds from the sale were distributed to third parties, including the decedent's heirs.

Plaintiff alleges that, prior to the foreclosure sale, it sent correspondence to Defendant Rocket and Defendant CRC asserting an intent to enforce affordability restrictions on the Property.

Laches

"The elements of laches are (1) the failure to assert a right, (2) for some appreciable period so as to amount to unreasonable delay, (3) which results in prejudice to the adverse party." (In re Marriage of Powers (1990) 218 Cal.App.3d 626, 642.)

Defendant contends that the Complaint establishes laches on its face. Plaintiff had actual knowledge of the alleged affordability restrictions before the January 26, 2023 foreclosure sale and announced its intent to enforce them, yet took no action to prevent the sale. Defendant argues that Plaintiff then remained inactive for more than three years, doing nothing to enjoin the transaction, notify subsequent purchasers, or challenge the recorded transfer of title. By the time this action was filed, the sale had closed, consideration had been paid, title had transferred, and surplus proceeds had been distributed, so that unwinding the transaction now would require disgorgement from third parties and disturbance of settled title, which Defendant characterizes as textbook prejudice.

Defendant argues that these facts satisfy the elements of laches, namely unreasonable delay together with either acquiescence or resulting prejudice. (Conti v. Board of Civil Service Commissioners (1969) 1 Cal.3d 351, 359.) Because the doctrine turns on the facts of each case and has no fixed measure of delay, Defendant maintains that Plaintiff's silence for more than three years, despite full knowledge of the operative facts, constitutes unreasonable delay as a matter of law and establishes acquiescence. (Wolpert v. Gripton (1931) 213 Cal. 474, 483.) Defendant concludes that Plaintiff's delay and acquiescence appear on the face of its own pleading and compel application of laches to bar every cause of action. (Wolpert,

supra, 213 Cal. 474, 483.)

In opposition, Plaintiff contends that Defendant's laches defense fails for three reasons. First, Plaintiff argues that laches may not be asserted against a governmental entity where its application would nullify a policy adopted for public protection, and that rights the government asserts in its governmental capacity cannot be lost by laches. (People v. Shirokow (1980) 26 Cal.3d 301, 309, 311.) Plaintiff notes that courts have rejected the defense despite decades of delay and even where unreasonable delay and prejudice are assumed. (Golden Gate Water Ski Club v. County of Contra Costa (2008) 165 Cal.App.4th 249, 262-264.) Plaintiff argues that this action enforces the Covenant restricting transfer of the Property to qualified low-income seniors, which furthers the paramount public policy of affordable housing, and that Defendant Rocket, having sold the Property to Defendant Luk above the maximum allowable price despite notice of the Covenant, cannot use laches to defeat that policy.

Second, Plaintiff argues that a party seeking laches cannot obtain relief with unclean hands, meaning conduct that violates good faith and relates directly to the subject matter of the suit. (Kendall-Jackson Winery, Ltd. v. Superior Court (1999) 76 Cal.App.4th 970, 979.) Plaintiff maintains that Defendant Rocket had constructive and actual notice of the recorded Covenant yet proceeded with the trustee's sale without seeking Plaintiff's consent or a waiver, conduct that is the very basis of the Complaint.

Third, Plaintiff argues that laches supports a demurrer only where the Complaint shows on its face that the action is necessarily barred. (Casterson v. Superior Court (2002) 101 Cal.App.4th 177, 183.) Plaintiff notes that laches requires unreasonable delay together with either acquiescence or resulting prejudice, so delay alone is insufficient and a plaintiff need not plead excuse. (Conti v. Board of Civil Service Commissioners (1969) 1 Cal.3d 351, 361-362.) Where the Complaint discloses only a lapse of time without showing injury, Plaintiff argues, the demurrer should not be sustained, and prejudice must be tried on the merits. (Barndt v. County of Los Angeles (1989) 211 Cal.App.3d 397, 403.) Plaintiff adds that its contract claims carry a four-year limitations period and were timely filed, so treating that filing as unreasonable delay would impose an impermissible de facto statute of limitations. (Code Civ. Proc., § 337.) Plaintiff further contends that

prejudice is never presumed, that any prejudice here is self-inflicted because Defendant Rocket proceeded after notice, and that Defendant Rocket identifies no lost evidence or changed position attributable to the timing of suit. (Miller v. Eisenhower Medical Center (1980) 27 Cal.3d 614, 624

“Where there is no showing of manifest injustice to the party asserting laches, and where application of the doctrine would nullify a policy adopted for the public protection, laches may not be raised against a governmental agency.” (Morrison v. California Horse Racing Bd. (1988) 205 Cal.App.3d 211, 219.) “If the complaint merely discloses the lapse of a long period of time without affirmatively showing or necessarily implying any injury to the defendant therefrom, it does not show laches on its face, and a demurrer should not be sustained. Prejudice may then be pleaded in the answer, and the issue will be determined at the trial.” (Barndt, supra, 211 Cal.App.3d 397, 403.)

Here, the Complaint alleges a three-year delay between the sale of the property and the filing of the instant action. (Complaint ¶ 17.) However, the Complaint does not allege any manifest injustice, especially given the allegation that Plaintiff sent a letter to Defendants asserting the affordability requirements before the sale of the property. (Complaint ¶ 15.)

Therefore, the Court finds that the Complaint is not barred by the doctrine of laches.

Privity

Defendant argues that Plaintiff's breach of contract claims against it fail at the threshold for lack of contractual privity. Defendant contends that under California law only parties in privity of contract may sue for breach, and that contractual rights and obligations bind only those who mutually assent to the agreement. (Gold v. Gibbons (1960) 178 Cal.App.2d 517, 519.) Defendant relies on the statutory requirements that the parties to a contract be identifiable and that their consent be mutual, free, and communicated by each to the other.

Defendant argues that Gold is directly on point, where the buyers of a restaurant were held not liable for breach of a contract they neither executed nor assumed and the demurrer was

properly sustained. (Gold, supra, 178 Cal.App.2d 517, 519.)

Applying that reasoning, Defendant contends that Exhibits 1 and 2 to the Complaint show on their face that the agreements were entered into solely between Plaintiff and the Developer and that Defendant Rocket is not a party. Defendant argues that where the allegations of a complaint conflict with the exhibits incorporated into it, the exhibits control, and that the exhibits here establish the absence of privity because Plaintiff alleges no facts showing that Defendant Rocket executed the agreements or assumed their obligations.

Defendant concludes that, because privity is an essential element that Plaintiff cannot establish, the breach of contract claim fails as a matter of law, and that because the defect appears on the face of the Complaint and its incorporated exhibits and cannot be cured by amendment, the demurrer should be sustained without leave to amend.

In opposition, Plaintiff argues that Defendant Rocket is bound by the recorded Covenant even though it was not an original signatory. Plaintiff contends that a covenant runs with the land when it binds not only the person who entered it but also later owners and assigns, and that a purchaser with constructive notice of recorded restrictions is deemed to have agreed to be bound by them even if they are not repeated in the deed. (Citizens for Covenant Compliance v. Anderson (1995) 12 Cal.4th 345, 349-356.) Plaintiff maintains that a recorded covenant meeting statutory requirements binds successive owners of the affected land, and that a properly recorded instrument gives constructive notice of its contents to subsequent purchasers and mortgagees.

Applying these principles, Plaintiff alleges that the 2008 Affordable Housing Agreement and 2008 Covenant Agreement are recorded affordability restrictions that expressly bind successors, transferees, and assignees, run with the Property for decades, and confer enforcement rights on Plaintiff. Plaintiff argues that Defendant Rocket was the mortgagee that assumed the real property interest after the borrower's death and default, that the Covenant was recorded so Defendant Rocket had constructive notice of its terms, and that Plaintiff also served Defendant Rocket with actual notice before the sale. Plaintiff contends that Defendant Rocket was therefore bound by the restrictions when it foreclosed and assumed the interest. Plaintiff relies on a decision enforcing recorded restrictions that expressly bound successors and assigns, declared them covenants running with the land, and authorized the city to enforce them. (City of Oceanside v. McKenna (1989)

215 Cal.App.3d 1420, 1424-1426.)

Plaintiff further argues that successors with notice may be bound in equity regardless of privity, and that an equitable servitude is enforceable against successors with actual or constructive notice. (*Nahrstedt v. Lakeside Village Condominium Assn.* (1994) 8 Cal.4th 361, 379-380.) Plaintiff notes that the Covenant was recorded and that Plaintiff notified Defendant Rocket and the foreclosure trustee of the restrictions before the sale and advised them of its intent to enforce.

Plaintiff argues that Defendant Rocket's reliance on *Gold v. Gibbons* is misplaced because that case involved purchasers who neither executed nor assumed a seller's personal contractual obligations and did not involve recorded property restrictions drafted to bind successors. (*Gold*, supra, 178 Cal.App.2d 517, 519.) Plaintiff contends that Civil Code sections 1558 and 1565 are likewise irrelevant because neither the validity of the Covenant nor Defendant Rocket's consent as a signatory is at issue, since a recorded covenant runs with the land and binds successors whether or not they signed it.

"A covenant running with the land binds those only who acquire the whole estate of the covenantor in some part of the property." (Civ. Code, § 1465.) "Where several persons are subject to the burden of any such covenant, it shall be apportioned among them pursuant to Section 1467, except that where only a portion of such land is so affected thereby, such apportionment shall be only among the several owners of such portion. This section shall apply to the mortgagee, trustee or beneficiary of a mortgage or deed of trust upon such land or any part thereof while but only while he, in such capacity, is in possession thereof." (Civ. Code, § 1468 subd. (d).) "Deeds of trust and mortgages do not convey possessory rights to the beneficiary or mortgagee." (*Bailey v. Citibank, N.A.* (2021) 66 Cal.App.5th 335, 358.)

Here, Defendant Rocket was not a party to the original covenant agreement between the developer and Plaintiff. As to the foreclosure sale transferring the property to Defendant Luk, Defendant Rocket acted only as the secured lender under a deed of trust, which does not grant possessory rights. (*Bailey*, supra, 6 Cal.App.5th 335, 358.) As Defendant Rocket had no possessory rights, it was not bound by the covenant. (Civ. Code, § 1468.) Consequently, Defendant Rocket held only a non-possessory security

interest and never became an owner or possessor of the burdened property. Accordingly, Plaintiff fails to allege causes of action for breach of contract, breach of restrictive covenant, breach of equitable servitude, and breach of the implied covenant of good faith and fair dealing, as these claims require an entity to take possession of the burdened estate.

Therefore, the Court sustains the Demurrer as to causes of action 1, 2, 3, and 6 with leave to amend.

Cause of Action 7 – Quiet Title

Defendant argues that Plaintiff's seventh cause of action for quiet title fails because Plaintiff pleads no ownership interest in the Property and that the Complaint does not satisfy the statutory pleading requirements for a quiet title action.

Defendant first contends that Plaintiff cannot maintain a quiet title action because it does not allege ownership or any present possessory interest in the Property. Defendant argues that a quiet title claim requires the plaintiff to allege that it holds title to or an ownership interest in the property against which adverse claims are asserted, and that the action is properly framed only where the plaintiff alleges ownership and entitlement to possession coupled with an adverse claim by the defendant. (Code Civ. Proc., § 760.020.)

Defendant maintains that Plaintiff alleges no ownership interest in the Property and does not allege that Defendant Rocket claims any competing title adverse to Plaintiff, so no genuine quiet title controversy is before the Court.

Defendant next argues that the Complaint fails to satisfy the mandatory pleading requirements governing quiet title actions, which require a verified complaint stating, among other things, the date as of which the determination is sought, or the reasons a determination as of a different date is necessary. (Code Civ. Proc., § 761.020, subd. (d).) Defendant contends that the Complaint identifies no operative date for the requested determination and pleads no reason for omitting that element, a defect Defendant argues is alone sufficient to render the claim insufficient.

In opposition, Plaintiff argues that the demurrer to

the seventh cause of action should be overruled because a quiet title action may be brought to establish title against adverse claims to any interest in property, and any interest is sufficient. (Code Civ. Proc., § 760.020.) Plaintiff contends that quiet title may also be used to test the enforceability of covenants asserted against property. (Marra v. Aetna Construction Co. (1940) 15 Cal.2d 375, 377.) Plaintiff maintains that its interest arises from the recorded Covenant, and that although Defendant Rocket contends it is not bound by the Covenant, that dispute is precisely what a quiet title action resolves. Plaintiff further argues that the Complaint satisfies the statutory pleading requirements for a quiet title action.

Plaintiff concludes that, because the Complaint pleads an interest in the Property and satisfies each statutory requirement, the demurrer to the quiet title cause of action should be overruled.

“An element of a cause of action for quiet title is the adverse claims to the title of the plaintiff against which a determination is sought.” (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 802.)

Here, Defendant Rocket has no present interest in the property, and thus has no adverse claim. (See Orcilla v. Big Sur, Inc. (2016) 244 Cal.App.4th 982, 1010.)

Therefore, the Court sustains the Demurrer as to the seventh cause of action with leave to amend.

Cause of Action 8 –
Declaratory Relief

“Any person interested under a written instrument, ... or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, ... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court ... for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract.” (Ludgate Ins. Co. v. Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 605.)

Defendant argues that Plaintiff's eighth cause of action for declaratory relief is improper and redundant. Defendant contends that the claim requires an actual, present, and justiciable controversy touching the parties' rights and duties under a written instrument or contract. (LePage v. City of Oakland (1970) 13 Cal.App.3d 689, 692.) Defendant argues that relief must also be necessary and proper, and that courts decline it where another adequate remedy exists or the issues can be resolved through traditional causes of action.

Defendant contends that Plaintiff's claim arises entirely from the alleged Agreements said to have been breached more than three years ago, so it concerns only completed past breaches rather than any present or future controversy. Defendant argues that the claim merely duplicates Plaintiff's contract and tort causes of action, through which any remedy can be fully resolved, and that declaratory relief is properly dismissed where a breach of contract action will resolve the issues and no ongoing dispute requires prospective guidance. (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 372-377.)

In opposition, Plaintiff argues that the demurrer to the eighth cause of action should be overruled because the Complaint pleads an actual controversy warranting a declaration of rights. Plaintiff contends that a declaratory relief claim requires only a proper subject of declaratory relief and an actual controversy involving justiciable questions about the parties' rights and obligations, and that a court may make a binding declaration as to whether further relief is or could be claimed. (Code Civ. Proc., § 1060.)

Plaintiff argues that where the complaint alleges an actual controversy relating to the parties' legal rights and duties and requests that they be adjudged, it is sufficient, and the court must declare the parties' rights even if the declaration is adverse to the plaintiff. (Childhelp, supra, 91 Cal.App.5th 224, 235.) Plaintiff contends that a general demurrer is therefore usually not an appropriate means to test the merits of a declaratory relief claim, and that the only question on demurrer is whether a justiciable controversy warranting a declaration has been pleaded. (Qualified Patients Assn. v. City of Anaheim (2010) 187 Cal.App.4th 734, 751.)

Plaintiff maintains that the Complaint pleads a present dispute over Defendant Rocket's obligation to comply with the Covenant

and the Covenant's enforceability as to the Property, alleging that Defendant Rocket violated the Covenant, while Defendant Rocket contends it did not. Plaintiff argues that the completion of the transaction does not moot the claim because Plaintiff contends Defendant Rocket violated and continues to violate the Covenant, and that unless Defendant Rocket concedes its conduct was unlawful, declaratory relief remains appropriate.

"There is unanimity of authority to the effect that the declaratory procedure operates prospectively, and not merely for the redress of past wrongs. It serves to set controversies at rest before they lead to repudiation of obligations, invasion of rights or commission of wrongs; in short, the remedy is to be used in the interests of preventive justice, to declare rights rather than execute them." (Travers v. Louden (1967) 254 Cal.App.2d 926, 931.)

Here, Defendant Rocket has not held an interest in the property in the past three years, and any controversy regarding whether the prior transaction breached the affordable housing covenant has calcified into a cause of action meant to redress prior harm.

Therefore, the Court sustains the Demurrer as to the eighth cause of action with leave to amend.

Motion
to Strike

California law authorizes a party's motion to strike a matter from an opposing party's pleading if it is irrelevant, false, or improper. (Code Civ. Proc., §§ 435; 436 subd. (a).) Motions may also target pleadings or parts of pleadings that are not filed or drawn in conformity with applicable laws, rules, or orders. (Code Civ. Proc., § 436 subd. (b).) A motion to strike is used to address defects that appear on the face of a pleading or from a judicially noticed matter but that are not grounds for a demurrer. (Pierson v Sharp Memorial Hospital (1989) 216 Cal.App.3d 340, 342; see also City & County of San Francisco v Strahlendorf (1992) 7 Cal.App.4th 1911, 1913 (motion may not be based on a party's declaration or factual representations made by counsel in the motion papers).) In particular, a motion to strike can be used to attack the entire pleading or any part thereof – in other words, a motion may target single words or phrases, unlike demurrers. (Warren v. Atchison, Topeka & Santa Fe Railway Co.

(1971) 19 Cal.App.3d 24, 40.) California's policy of liberal construction applies to motions to strike. (Code Civ. Proc., § 452; see also *Duffy v. Campbell* (1967) 250 Cal.App.2d 662, 666 (noting that courts must resolve all reasonable doubts in favor of the pleading when considering a motion to strike).) The Code of Civil Procedure also authorizes the Court to act on its own initiative to strike matters, empowering the Court to enter orders striking matter "at any time in its discretion, and upon terms it deems proper." (Code Civ. Proc., § 436.)

Attorney's fees

"Except as attorney's fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties; but parties to actions or proceedings are entitled to their costs, as hereinafter provided." (Code Civ. Proc., § 1021.)

Here, neither the Complaint nor the attached exhibits contain justification for a request for attorney's fees.

Therefore, the Court grants the Motion to Strike with leave to amend.